BOARD QUESTION PAPER: FEBRUARY 2025
SECRETARIAL PRACTICE

Time: 3 Hrs. **Max. Marks: 80**

Notes: *(1) All questions are compulsory.*
(2) Figures to the right indicate full marks for the questions.
(3) Figures to the left indicate question numbers.
(4) Answer to every question must be started on a new page.

Q.1. (A) Select the correct answer from the options given below and rewrite the sentences: **(5)[20]**

1. The holder of bond is _____ of the company.
   (a) secretary (b) owner (c) creditor
2. Company has to appoint _____ to protect the interest of depositors.
   (a) Debenture trustees (b) Deposit trustees
   (c) Credit Rating Agency
3. The rate of interest payable on debenture is _____.
   (a) fixed (b) floating (c) uncertain
4. Demat shares are _____.
   (a) non-transferable (b) fungible (c) bearer
5. Central government is a borrower in the money market through the issue of _____.
   (a) commercial papers (b) trade bills (c) treasury bills

(B) Correct the underlined words and rewrite the following sentences: **(5)**

1. Depository Receipt traded in USA is called as Global Depository Receipt.
2. FPO refers to offering of shares to the public for the first time.
3. Bonus shares are issued as a free gift to the Preference Shareholders.
4. Dividend is an obligation to be paid by a company every year.
5. A stock market is an important constituent of money market.

(C) Match the pairs: **(5)**

	Group 'A'		Group 'B'
(a)	Financial Market	(1)	Secured debentures
(b)	Equity Share Capital	(2)	1996
(c)	Charge on Assets	(3)	Mix up of various sources of funds
(d)	Depository Act	(4)	Trading of financial securities
(e)	Capital Structure	(5)	Risk capital
		(6)	Unsecured debentures
		(7)	Trading of commodities
		(8)	Safe capital
		(9)	Product mix
		(10)	1956

(D) State whether the following statements are True or False: **(5)**

1. Dividend once declared cannot be revoked.
2. Authorized capital is mentioned in capital clause of Memorandum of Association.
3. Fixed capital is also referred as circulating capital.
4. Depositors are given voting rights.
5. Bombay Stock Exchange (BSE) is the oldest stock exchange in India.

Q.2. Explain the following terms / concepts (Any FOUR): **[8]**

1. Fixed capital
2. Overdraft
3. Debenture certificate
4. Secured Deposit
5. Rematerialization
6. Bull

Q.3. Study the following cases / situations and express your opinion (Any TWO): **[6]**

1. STAR Company Ltd. has recently come out with its public offer through FPO. Their issue was oversubscribed. The Board of Directors now wants to start the allotment process. Please advise the Board on:
   a. Should the company set up allotment committee?
   b. How should the company inform the applicants to whom the company is alloting shares?
   c. Within what period should the company issue share certificate?
2. Mr. Z holds 50 shares of Peculiar Company Ltd. in physical mode and wishes to convert the same into electronic mode.
   a. Mr. Z holds a Saving Bank Account with CFDH Bank Ltd. Can he deposit his shares into this account for demat?
   b. What type of account is needed for the same?
   c. Is it the RBI which will be the custodian of shares of Mr. Z after demating?
3. XYZ Company Ltd. decides to declare dividend for the financial year 2021-22 in which it has earned profits less than their expectations.
   a. Is Board right in recommending a dividend of ₹ 5/- per share out of free reserves?
   b. Can Board declare the dividend though it is not approved by Annual General Meeting?
   c. Can the Board give dividend in the form of gifts?

Q.4. Distinguish between the following (Any THREE): **[12]**

1. Shares and Debentures
2. Transfer of shares and Transmission of shares
3. Final Dividend and Interim Dividend
4. Primary Market and Secondary Market

Q.5. Answer in brief (Any TWO): **[8]**

1. State the provisions relating to Bonus Shares.
2. Explain the features of Interest.
3. Explain any four features of Stock Exchange.

Q.6. Justify the following statements (Any TWO): **[8]**

1. The firm has multiple choices of sources of financing.
2. A company can issue only certain types of debentures.
3. Company has to fulfill certain provisions relating to issue of circular or advertisement.
4. ISIN is a necessary component of Demat.

Q.7. Attempt the following (Any TWO): **[10]**

1. Write a letter to depositor regarding renewal of his deposit.
2. Write a letter to the debenture holder informing him/her about conversion of debentures into equity shares.
3. Write a letter to the member for the payment of dividend through dividend warrant.

Q.8. Answer the following questions (Any ONE): **[8]**

1. What are Preference Shares? Explain the different types of Preference Shares.
2. Explain the procedure for allotment of shares.